

ECON 101—INTRODUCTION TO MICROECONOMICS

Fall 2023

Department of Economics
Nazarbayev University

Instructor: Alejandro Melo Ponce, alejandro.melo@nu.edu.kz

Time and classroom: MWF 10:00–10:50, Blue Hall.

Office hours: Times announced during semester, my office is in 8.510, book at <https://alejandromelo.youcanbook.me> during available slots, please sign at least one day in advance.

Tutorial Sessions: There will be mandatory tutorial sessions held approximately every week, except possibly the first one. The tutorials will be led by one my graduate/undergraduate teaching assistants. The official times for the tutorials are:

1. Mondays 18:00–18:50, 8.105
2. Mondays 19:00–19:50, 8.105
3. Wednesdays 18:00–18:50, 8.105

Please take note that depending on the availability of teaching assistants, it maybe possible to open more tutorial slots on different days or times.

Course Description: The objective of the course is to introduce you to a set of analytical tools, i.e. *the core principles of microeconomics*, needed to understand the functioning of market economies and also to apply those principles to everyday life and understand economic and social phenomena. At the end of the course, the student is expected to apply these tools in the analysis of daily economic problems and to be able to discuss critically economic policy issues. We will study consumer and firms behavior, how different types of markets work, welfare implications of different market structures, trade, market failures, and public policies.

Course Aims:

1. Introduce students to the economic way of thinking.
2. Introduce students to a theoretical framework to study economic and social phenomena, as well as serve as a basis to the study of other social sciences.
3. Explain consumer and firm behavior.
4. Analyze different types of markets, such as perfect competition, monopoly, and oligopoly.
5. Analyze market inefficiencies caused by externalities and public goods.
6. Analyze, evaluate, and recommend economic and social policies.

Course Learning Objectives: By the end of the course the student will be expected to be able to:

1. Demonstrate fluency in economic terminology and graphical tools.
2. Apply the cost-benefit principle to analyze and predict the choices of individuals, firms, and other decision makers.

3. Explain how different factors affect supply and demand.
4. Explain how markets organize the allocation of scarce resources and the distribution of goods and services, assess the efficiency of markets, and describe the various factors that might have an impact on efficiency.
5. Relate the basic economic theory and principles to current microeconomic issues and evaluate related public policy.

Learning and Teaching Methods: Lectures, in-class activities, tutorials, and problem sets.

Textbook: *Principles of Microeconomics*. Robert Frank, Ben Bernanke, Kate Antonovics, Ori Heffetz. McGraw Hill 8th ed. You will be provided with access codes to the e-book version of the textbook. You should also be able to find print copies in the library. You will be provided with access codes to McGraw Hill's Connect Platform, which you should use for self-study.

You will be responsible for all the material I cover or assign in class or tutorials. Therefore, studying the textbook is important but it *is not* a perfect substitute for the material I cover in class.

Course Website: Additional course material, such as lecture slides, problem sets, and announcements will be posted on the Moodle page of the course, which you should check regularly.

Summative Assessments:

Activity	Date	Weighting	CLOs
Midterm Exam 1	22.09.23	30%	1–3
Midterm Exam 2	27.10.23	30%	1–5
Final	TBA	40%	1–5

Exams will be held outside of class, on Fridays (or weekends). All exams are closed books/notes. Programmable calculators will not be allowed when taking the exams. The dates (or weekend) of the midterm exams are fixed but the locations will be announced later. The final exam will be scheduled by the Office of the Registrar later. If you miss an exam, you will get a grade of zero unless you have a valid and documented reason. If you miss a midterm exam for a valid and documented reason its weight will be shifted to the final exam. If you miss the final exam for a valid and documented reason, your grade will be determined according to the University grading policy. There are no make-up exams. The final exam is cumulative. Students who wish to appeal a grade on a midterm have to do so within five days after the graded exam is returned. Students who wish to appeal on a final exam or final course grade have to do so within two days after the grades are posted.

There will be several *problem sets*, whose solutions will be discussed during tutorial sessions. These assignments will not be graded but it is very important that you work on them before the tutorial sessions. The best way to keep up with the demands of the course and to prepare for the exams is to work on the problem sets regularly. Do not expect to do well in this course by only reading the textbook just before the exams.

Grading: Your course grade is determined by the weighted average of the assessments above according to the following scale:

A	90–100	A–	85–89.99
B+	80–84.99	B	75–79.99
B–	70–74.99	C+	65–69.99
C	60–64.99	C–	55–59.99
D+	50–54.99	D	45–49.99
F	0–44.99		

Course Expectations:

1. Class will begin promptly at the scheduled starting time. As a courtesy to others, it is requested that you not arrive after class has begun or leave before it ends. PLEASE NOTE: Since showing up late and leaving early is disruptive to the class, students who disrupt the class in this or any other manner may be administratively dropped or have their course grade reduced at the instructor's discretion. If you must leave class early or will be late, please let me know before class begins.
2. Class attendance will be taken regularly throughout the semester. If you fail to attend a lecture, you must submit the documents justifying your absence to the registrar and notify me by email. Students who have more than 25% of unexcused absences (7 lectures) will not be able to take the final exam. The instructor holds the right to excuse students from class or administratively drop them if necessary for violation of this policy.

Academic Misconduct: Students are expected to act with integrity. Cheating and plagiarism will not be tolerated. Any student deemed academically dishonest will be reported to the SSH disciplinary committee. Any cases of academic misconduct will be handled in accordance with the procedures of the Student Code of Conduct. The penalties may include anything from failing grade on a particular assignment to a loss of stipend, and even, dismissal from the University. You can read more about academic misconduct in the Student Code of Conduct. https://aao.nu.edu.kz/academic_integrity

Tentative Course Outline: The following gives a tentative outline of the material to be covered in this course. We may not be able to cover all the material listed below and the schedule is tentative.

Session	Topics and Assignments	Course Aims	CLOs
Week 1	Introduction: Basic Concepts and Principles, Specialization, Gains from trade	1,2	1,2
Week 2	Demand and Supply	1,2,3	1,2,3
Week 3	Elasticity	1,2,3	1,2,3
Week 4	Consumer Behavior	1,2,3	1,2,3
Week 5	Individual Demand, Income and Substitution Effects	1,2,3	1,2,3
Week 6	Review, Midterm 1	1,2,3	1,2,3
Week 7	Production and Costs	1,2,3	1,2,3
Week 8	Fall Break		
Week 9	Long-run Equilibrium in Competitive markets	1,2,3,4	1,2,3,4
Week 10	Applying the competitive model, Government Interventions in Markets.	1,2,3,4,6	1,2,3,4,5
Week 11	Review, Midterm 2	1,2,3,4,5,6	1,2,3,4,5
Week 12	Economic Welfare and Efficiency, Monopoly	1,2,3,4,6	1,2,3,4,
Week 13	Introduction to Game Theory	1,2,3,4	1,2,3
Week 14	Imperfect Competition and Oligopoly	1,2,3,4	1,2,3,4
Week 15	Externalities and Public Goods.	1,2,3,4,5,6	1,2,3,4,5

Disclaimer: Subsequent changes can be made to any part of this syllabus when necessary. Any changes will be announced in class and on Moodle.